

HOUSING FINANCE

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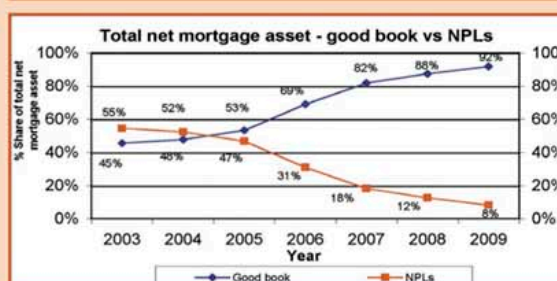
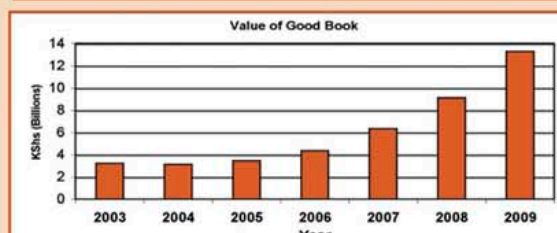
Turning dreams into homes

AUDITED FINANCIAL STATEMENTS AND DISCLOSURES FOR THE PERIOD ENDED 31 DECEMBER 2009

I	BALANCE SHEET	GROUP		COMPANY	
		31.12.2008	31.12.2009	31.12.2008	31.12.2009
		Audited	Audited	Audited	Audited
		(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
A. ASSETS					
1	Cash balances	113,321	106,118	113,318	106,118
2	Balances due from Central Bank of Kenya	-	-	-	-
3	Government securities	478,594	509,507	478,594	509,507
4	Foreign Currency Treasury bills and bonds	-	-	-	-
5	Deposits and balances due from banking institutions	2,659,178	2,320,140	2,659,165	2,320,140
6	Deposits and balances due from banking institutions abroad	-	-	-	-
7	Government and other securities held for dealing purposes	-	-	-	-
8	Tax recoverable	15,615	-	-	-
9	Loans and advances to customers (net)	10,418,665	14,495,208	10,418,665	14,495,208
10	Investment securities	-	-	-	-
11	Balances due from group companies	-	-	-	-
12	Investment in associates	-	-	-	-
13	Investment in subsidiary companies	-	-	130,020	130,020
14	Investment in Joint ventures	-	-	-	-
15	Investment properties	-	-	-	-
16	Property and equipment	349,856	580,907	343,630	574,756
17	Prepaid operating lease rentals	49,900	49,257	42,632	42,171
18	Intangible assets	9,620	4,146	9,550	4,094
19	Deferred tax asset	65,022	70,743	11,804	15,638
20	Retirement benefit asset	-	-	-	-
21	Other assets	134,597	103,333	123,118	83,109
22	TOTAL ASSETS	14,294,368	18,239,359	14,330,496	18,280,761
B. LIABILITIES					
23	Balances due to Central Bank of Kenya	-	-	-	-
24	Customer deposits	10,063,830	12,219,449	10,088,797	12,234,645
25	Deposits and balances due to local banking institutions	-	-	-	-
26	Deposits and balances due to foreign banking institutions	-	-	-	-
27	Other money market deposits	-	-	-	-
28	Borrowed funds	400,000	1,700,000	400,000	1,700,000
29	Balances due to group companies	-	-	20,997	2,851
30	Tax payable	-	26,091	4,995	50,193
31	Dividends payable	-	-	-	-
32	Deferred tax liability	-	-	-	-
33	Retirement benefit liability	-	-	-	-
34	Other liabilities	178,122	220,443	154,401	208,841
35	TOTAL LIABILITIES	10,641,952	14,165,983	10,669,190	14,196,530
C. SHAREHOLDERS' FUNDS					
36	Paid up capital	1,150,000	1,150,000	1,150,000	1,150,000
37	Share premium	1,549,173	1,549,173	1,549,173	1,549,173
38	Revaluation reserve	193,418	449,202	193,418	449,202
39	Retained earnings	159,272	174,216	168,162	185,071
40	Statutory Loan Loss Reserve	480,803	585,035	480,803	585,035
41	Proposed dividends	69,000	115,000	69,000	115,000
42	Capital grants	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	3,652,416	4,073,376	3,661,306	4,084,231
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	14,294,368	18,239,359	14,330,496	18,280,761

II INCOME STATEMENT					
1 INTEREST INCOME					
1.1	Loans and advances	1,085,605	1,556,862	1,085,605	1,556,862
1.2	Government Securities	31,733	32,556	31,733	32,556
1.3	Deposits and Placements with banking institutions	202,070	214,704	201,938	214,704
1.4	Other interest income	-	-	-	-
1.5	Total Interest income	1,319,408	1,804,122	1,319,276	1,804,122
2 INTEREST EXPENSES					
2.1	Customers' Deposits	439,862	571,569	439,862	571,670
2.2	Deposits and placements from banking institutions	-	-	-	-
2.3	Other interest expenses	48,828	85,010	48,828	85,010
2.4	Total Interest expenses	488,690	656,579	488,690	656,680
3	NET INTEREST INCOME	830,718	1,147,543	830,586	1,147,442
4 OTHER OPERATING INCOME					
4.1	Fees and commissions on loans and advances	74,991	85,156	74,991	85,156
4.2	Other fees and commissions	92,380	83,936	73,941	72,851
4.3	Foreign exchange trading income	-	-	-	-
4.4	Dividend income	-	-	-	-
4.5	Other income	46,253	57,810	45,484	50,764
4.5	Total Non interest income	213,624	226,902	194,416	208,771
5	TOTAL OPERATING INCOME	1,044,342	1,374,445	1,025,002	1,356,213
6 OPERATING EXPENSES					
6.1	Loan loss provision	98,747	225,487	98,747	225,487
6.2	Staff costs	393,747	388,687	385,998	377,997
6.3	Directors emoluments	30,669	31,525	30,669	31,525
6.4	Rental charges	11,494	12,106	11,494	11,684
6.5	Depreciation on property and equipment	33,222	38,523	33,147	36,459
6.6	Amortisation charges	21,977	6,103	21,774	5,918
6.7	Other operating expenses	251,816	320,896	247,367	313,268
6.8	Total Other Operating Expenses	841,672	1,023,327	829,196	1,002,338
7	Profit before tax and exceptional items	202,670	351,118	195,806	353,875
8	Exceptional items	-	-	-	-
9	Profit before tax but after exceptional items	202,670	351,118	195,806	353,875
10	Current tax	(68,989)	(122,663)	(66,320)	(121,568)
11	Deferred Tax	2,746	5,721	2,134	3,834
12	Profit After Tax and exceptional items	136,427	234,176	131,620	236,141

III. DISCLOSURES	GROUP		COMPANY	
	31.12.2008	31.12.2009	31.12.2008	31.12.2009
	Audited	Audited	Audited	Audited
	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
Non-Performing Loans and Advances				
a) Gross non-performing loans and advances	2,096,801	1,815,135	2,096,801	1,815,135
b) Less: Interest in Suspense	894,898	555,353	894,898	555,353
c) Total non-Performing loans and advances (a-b)	1,201,903	1,259,782	1,201,903	1,259,782
d) Less: Loan loss provisions	376,079	505,430	376,079	505,430
e) Net non-performing loans and advances(c-d)	825,824	754,352	825,824	754,352
f) Discounted value of securities	825,824	754,352	825,824	754,352
g) Net Exposure(e-f)	-	-	-	-
Insider loans and advances				
a) Directors, shareholders and associates	-	-	-	-
b) Employees	229,891	318,845	229,891	318,845
c) Total insider Loans and Advances	229,891	318,845	229,891	318,845
Off-Balance Sheet items				
a) Letters of credit, guarantees and acceptances	5,733	1,033	5,733	1,033
b) Other contingent liabilities	-	-	-	-
c) Total contingent liabilities	5,733	1,033	5,733	1,033
Capital Strength				
a) Core capital	-	-	2,867,335	2,884,244
b) Minimum Statutory Capital	-	-	250,000	250,000
c) Excess/Deficiency	-	-	2,617,335	2,634,244
d) Supplementary capital	-	-	187,564	279,054
e) Total capital (a+d)	-	-	3,054,899	3,163,298
f) Total risk weighted assets	-	-	7,076,724	9,280,302
g) Core capital /Total deposit liabilities	-	-	28.42%	23.57%
h) Minimum Statutory Ratio	-	-	8.00%	8.00%
i) Excess/Deficiency	-	-	20.42%	15.57%
j) Core capital /Total risk weighted assets	-	-	40.52%	31.08%
k) Minimum Statutory Ratio	-	-	8.00%	8.00%
l) Excess/Deficiency (j-k)	-	-	32.52%	23.08%
m) Total capital /Total risk weighted assets	-	-	43.17%	34.09%
n) Minimum Statutory Ratio	-	-	12.00%	12.00%
o) Excess/Deficiency (m-n)	-	-	31.17%	22.09%
Liquidity				
a) Liquidity Ratio	-	-	30.40%	23.89%
b) Minimum Statutory Ratio	-	-	20.00%	20.00%
c) Excess(Deficiency) (a-b)	-	-	10.40%	3.89%



MESSAGE FROM DIRECTORS

The above Balance Sheet and Profit and Loss Account are extracts from the Group's financial statements which have been audited by KPMG and received an unqualified opinion. A full set of the published financial statements will be available at our offices and can be viewed by any interested persons after approval by members at the Annual General Meeting.

The financial statements were approved by the Board of Directors on 4 March 2010 and were signed on its behalf by:

AUTHORISED BY:
KUNGU GATABAKI

AUTHORISED BY:
DAVID ANSELL

AUTHORISED BY:
FRANK IRERI

DESIGNATION: CHAIRMAN

DESIGNATION: DIRECTOR

DESIGNATION: MANAGING DIRECTOR